

1 Wealth, Entrepreneurship, and Borrowing Constraints

1.1 Which Are the Rich Households?

Wealth holdings are massively concentrated in the hands of a small fraction of households, and this wealth concentration is much larger than the one documented for labor earnings and total income. This observation raises the question of which saving motives generate the amplification in the concentration of wealth with respect to the one in income.

When one is looking at the data, it is clear that there is a tight relationship between being an “entrepreneur” and being rich. We document this relationship using different definitions of entrepreneurship, and we then discuss alternative ways of acquiring wealth.

The SCF asks several questions that we can use to classify a household by its occupational status:

1. “Do you work for someone else, are you self-employed, or what?”
2. “Do you (and your family living here) own or share ownership in any privately held businesses, farms, professional practices or partnerships?”
3. “Do you (or anyone in your family living here) have an active management role in any of these businesses?”

Table 1 Percentage of Entrepreneurs (According to Various Definitions) in the Population and Corresponding Share of Total Wealth Held

	Percent in Population	Share of Total Wealth
Business owners or self-employed	16.7	52.9
All business owners	13.3	48.8
Active business owners	11.5	41.6
All self-employed	11.1	39.0
Self-employed business owners	7.6	33.0

The key message of this table is that, regardless of the specific definition of entrepreneurship used, entrepreneurs are a relatively small fraction of the population and hold a large fraction of the total net worth.

Table ?? documents wealth concentration in the United States: the households in the top 1 percent of the wealth distribution hold about 30 percent of total net worth, and those in the top 5 percent hold more than half of the total.

A whopping 81 percent of those who belong to the top 1 percent of the wealth distribution declare that they either are self-employed or are business owners. All business owners are 76 percent of the richest 1 percent of households.

Regardless of the specific definition of entrepreneurship, entrepreneurs are much richer than nonentrepreneurs. The overall message is that most rich people are entrepreneurs.

Table 2 U.S. Wealth Distribution

	Fraction of People, Top			
	1%	5%	10%	20%
Total net worth held	30%	54%	67%	81%

Table 3 Fraction (%) of Entrepreneurs in a Given Wealth Percentile of the Overall U.S. Wealth Distribution

	Wealth Percentile, Top			
	1%	5%	10%	20%
Business owners or self-employed	81	68	54	39
All business owners	76	62	49	36
Active business owners	65	51	42	30
Self-employed	62	47	38	26
Self-employed business owners	54	39	32	22

1.2 Entrepreneurship and Borrowing Constraints

To estimate the severity of borrowing constraints on entrepreneurial entry and continuation decisions, one would want to know how much potential and existing entrepreneurs would like to borrow, at what interest rate, and how much they are actually able to borrow. Unfortunately, such data are not available.

Many papers have used a variety of data sets and methodologies to indirectly estimate the severity of borrowing constraints for entrepreneurs. Among these works, ? and ? estimate structural models of entrepreneurship and find evidence of borrowing constraints; ? and Eisfeldt and Rampini (2005) also argue that costly external financing has important implications for investment and saving decisions. ? have disputed the relevance of borrowing constraints to entrepreneurial entry: they estimate that the probability of entering entrepreneurship as a function of initial wealth is first flat over a large range of the wealth distribution and then increases for the richest workers. We will show that a model of entrepreneurial choice with borrowing constraints is capable of generating this type of entry probabilities as a function of one's own wealth.

The need to accumulate assets in the presence of borrowing constraints may also generate high saving rates among entrepreneurs (or households planning to become entrepreneurs). Using different data sets, ? and ? show higher saving rates for entrepreneurs than for the rest of the population. Among the self-employed business owners, 29 percent declare that they currently use their own personal assets as collateral to finance their business. Among the self-employed business owners, 18 percent report that they have been turned down for credit, and 9 percent state that they thought of applying but changed their mind because they thought they might be turned down.